

lose.” This strategic position of the common stockholder with relatively small commitment is an extreme form of what is called “trading on the equity.” Using another expression, he may be said to have a “cheap call” on the future profits of the enterprise.

Speculative Attractiveness of “Shoe-String” Common Stocks Considered.

Our discussion of fixed-value investment has emphasized as strongly as possible the disadvantage (amounting to unfairness) that attaches to the senior security holder’s position where the junior capital is proportionately slight. The question would logically arise if there are not corresponding *advantages* to the common stock in such an arrangement, from which it gains a very high degree of speculative attractiveness. This inquiry would obviously take us entirely outside the field of common-stock *investment* but would represent an expedition into the realm of intelligent or even scientific speculation.

We have already seen from our A. E. Staley example that in bad times a speculative capitalization structure may react adversely on the market price of both the senior securities and the common stock. During such a period, then, the common stockholders do not derive a present benefit at the expense of the bondholder. This fact clearly detracts from the speculative advantage inherent in such common stocks. It is easy to suggest that these issues be purchased only when they are selling at abnormally low levels due to temporarily unfavorable conditions. But this is really begging the question, because it assumes that the intelligent speculator can consistently detect and wait for these abnormal and temporary conditions. If this were so, he could make a great deal of money regardless of what type of common stock he buys, and under such conditions he might be better advised to select high-grade common stocks at bargain prices rather than these more speculative issues.

Practical Aspects of the Foregoing. To view the matter in a practical light, the purchase of speculatively capitalized common stocks must be considered under general or market conditions that are supposedly normal, *i.e.*, under those which are not obviously inflated or deflated. Assuming (1) diversification, and (2) reasonably good judgment in selecting companies with satisfactory prospects, it would seem that the speculator should be able to profit rather substantially in the long run from commitments of this kind. In making such purchases, partiality should evidently be shown to those companies in which most of the senior capital is